FIRE PROTECTION SUBCONTRACT AGREEMENT

This Fire Protection Subcontract Agreement (the "Subcontract") is entered into as of February 2, 2026 (the "Effective Date") between **Northgate Builders Group**, a California corporation, California Contractor's License No. 902617 (Class B), with its principal office at 2150 Riverpoint Commerce Drive, Suite 300, West Sacramento, California 95691 ("Contractor"), and **Allied Fire Protection, Inc.**, a California corporation, California Contractor's License No. 1048823 (Class C-16), with its principal office at 4410 Crosstown Industrial Way, Stockton, California 95206 ("Subcontractor").

Contractor has entered into a prime contract dated November 17, 2025 (the "Prime Contract") with **Coastal Logistics REIT** ("Owner") to construct a single-story tilt-up distribution warehouse of approximately 412,000 square feet, with associated office space, site utilities and paving, known as **Port of Stockton Warehouse 7**. The project is located at 1850 Wharf Access Road, Stockton, California 95203 (the "Project").

Contractor wishes to engage Subcontractor to furnish and install the fire protection systems for the Project, and Subcontractor is willing to perform that work on the terms below. The parties therefore agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Subcontract Documents.** The Subcontract Documents consist of this Subcontract; Rider A — Special Conditions; the Exhibit — Schedule of Values; the Prime Contract, to the extent it applies to the Subcontract Work; and the drawings, specifications, addenda and approved submittals listed in the Prime Contract. Together these form the entire agreement between Contractor and Subcontractor.

1.2 **Subcontract Work.** "Subcontract Work" means all labor, materials, equipment, engineering, permits, testing and services required to complete the work described in Article 2. It also includes work reasonably inferable from the Subcontract Documents as necessary to produce the intended result.

1.3 **Final Completion.** "Final Completion" of the Subcontract Work means the point at which all of the following have occurred: - all Subcontract Work has been completed, including punch list items; - all required inspections and acceptance tests have been passed and documented; - the authority having jurisdiction has issued final approval of the fire protection systems; and - Subcontractor has delivered all closeout documents required by Article 11.

1.4 **Flow-Down.** Subcontractor assumes toward Contractor all obligations that Contractor assumes toward Owner under the Prime Contract, to the extent those obligations apply to the Subcontract Work. Subcontractor has the benefit of all rights and remedies against Contractor that Contractor has against Owner, to the same extent. A copy of the Prime Contract, with pricing redacted, has been made available to Subcontractor. Subcontractor acknowledges that it has reviewed it.

1.5 **Order of Precedence.** If the Subcontract Documents conflict, they control in the following order: 1. Rider A — Special Conditions; 2. the body of this Subcontract; 3. the Exhibit — Schedule of Values; 4. the Prime Contract; and 5. the drawings and specifications.

Where the drawings and specifications conflict with one another, the more stringent requirement applies.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 **General Scope.** Subcontractor shall furnish and install complete, fully operational, hydraulically designed automatic fire sprinkler and standpipe systems for the Project. The work shall comply with Specification Division 21 and NFPA 13 and NFPA 14, as adopted and amended by the City of Stockton and the Stockton Fire Department.

2.2 **Included Work.** The Subcontract Work includes, without limitation, the following: - (a) an Early Suppression Fast Response (ESFR) wet-pipe sprinkler system throughout the warehouse storage area, per Specification Section 21 13 13.71; - (b) a wet-pipe sprinkler system for the office area, restrooms and electrical rooms, per Specification Section 21 13 13; - (c) a dry-pipe system for the covered loading canopies and unheated dock areas, per Specification Section 21 13 16; - (d) an electric fire pump, controller, jockey pump and pump room piping, per Specification Section 21 31 13; - (e) the underground fire service from the point of connection 5 feet outside the building line, including the riser room assembly, backflow preventer, fire department connections and post indicator valves, per Specification Section 21 11 19; - (f) Class I standpipes and hose valves as shown on Drawing FP-301; - (g) hydraulic calculations, shop drawings and seismic bracing design, stamped by a California-registered fire protection engineer; - (h) all fire sprinkler permits and plan review fees; - (i) hydrostatic testing, flushing, trip testing and acceptance testing; and - (j) the coordination required by Paragraph 2.4.

2.3 **Excluded Work.** The following are excluded from the Subcontract Work: - fire alarm and detection devices, except flow and tamper switches, which Subcontractor shall furnish and install for connection by others; - the site fire water main beyond the point of connection identified in Paragraph 2.2(e); - electrical power wiring to the fire pump controller; and - painting of exposed piping, except primer and identification banding required by code.

2.4 **Coordination.** Subcontractor shall participate in Contractor's building information modeling coordination process. Subcontractor shall resolve conflicts with roof structure, rack layouts provided by Owner, mechanical units and electrical distribution before fabrication. Subcontractor bears the cost of rework caused by its failure to coordinate.

2.5 **Licensing.** Subcontractor represents that it holds a current California C-16 Fire Protection Contractor license. Subcontractor shall maintain that license in good standing throughout performance of the Subcontract Work.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Amount.** Contractor shall pay Subcontractor for the full and satisfactory performance of the Subcontract Work the sum of **Four Hundred Twenty-Eight Thousand Dollars ($428,000.00)** (the "Subcontract Sum"). The Subcontract Sum is subject to additions and deductions by Change Order under Article 9.

3.2 **Inclusions.** The Subcontract Sum includes all applicable sales and use taxes, permit fees, engineering, freight, hoisting, insurance, bond premiums, overhead and profit.

3.3 **Schedule of Values.** The Subcontract Sum is allocated as shown in the Exhibit — Schedule of Values. Subcontractor's applications for payment shall follow that breakdown.

ARTICLE 4 — PROGRESS PAYMENTS

4.1 **Applications for Payment.** By the 20th day of each month, Subcontractor shall submit to Contractor an itemized application for payment. The application shall cover Subcontract Work performed through the end of that month and shall be in the format Contractor requires. Each application shall include: - the conditional waiver and release required by Article 6; and - unconditional waivers and releases for all prior payments received, from Subcontractor and its lower-tier subcontractors and suppliers.

4.2 **Stored Materials.** Contractor will not pay for materials or equipment stored on or off the site. Payment will be made only for materials and equipment incorporated into the Project. Subcontractor shall not include stored materials in any application for payment.

4.3 **Payment Timing.** Contractor and Subcontractor agree in writing, for purposes of California Business and Professions Code Section 7108.5, to the following payment terms: - Contractor shall pay Subcontractor each progress payment, less retention, within **seven (7) days after Contractor receives payment from Owner** for the Subcontract Work covered by Subcontractor's application. - This is a pay-when-paid provision. Payment to Subcontractor becomes due within seven (7) days after Contractor's receipt of the corresponding payment from Owner.

4.4 **Nature of the Payment Provision.** Paragraph 4.3 governs the timing of payment. It is not a condition precedent that shifts to Subcontractor the risk of Owner's nonpayment. If Owner fails to pay Contractor for reasons not attributable to Subcontractor, Contractor shall pay Subcontractor within a reasonable time for Subcontract Work properly performed.

4.5 **Effect of Payment.** No progress payment is an acceptance of defective or nonconforming work.

ARTICLE 5 — RETENTION

5.1 **Amount of Retention.** Contractor shall withhold **ten percent (10%)** of each progress payment as retention. The retention secures Subcontractor's full performance of the Subcontract Work.

5.2 **Release of Retention.** Contractor shall release the retention to Subcontractor within **ten (10) days after both** of the following have occurred: - (a) Final Completion of the Subcontract Work; and - (b) Contractor's receipt of retention from Owner attributable to the Subcontract Work.

5.3 **Conditions of Release.** The release of retention is subject to Contractor's rights under Article 7. It is also subject to Subcontractor's delivery of the conditional final waiver and release required by Article 6.

ARTICLE 6 — WAIVERS AND RELEASES

6.1 **Statutory Forms Required.** All waivers and releases required under this Subcontract shall be on the statutory forms set out in California Civil Code Sections 8132, 8134, 8136 and 8138, as applicable. Contractor will not accept modified or non-statutory forms.

6.2 **Conditional Waiver Before Progress Payment.** Subcontractor must deliver a Conditional Waiver and Release on Progress Payment (Civil Code Section 8132) before Contractor releases any progress payment. The waiver shall be executed by Subcontractor and cover the amount requested.

6.3 **Unconditional Waiver After Payment.** Within five (5) days after Subcontractor receives each progress payment, Subcontractor shall deliver an Unconditional Waiver and Release on Progress Payment (Civil Code Section 8134) for the amount received. Contractor may withhold the next progress payment until it receives that unconditional waiver.

6.4 **Lower-Tier Waivers.** With each application for payment, Subcontractor shall furnish waivers and releases from each of its lower-tier subcontractors and material suppliers whose work or materials are included in the application. These shall include: - conditional waivers for amounts currently requested; and - unconditional waivers for amounts previously paid.

Lower-tier waivers are subject to the same statutory form requirements.

6.5 **Final Waivers.** Final payment, including release of retention, is subject to the following: - Subcontractor shall deliver a Conditional Waiver and Release on Final Payment (Civil Code Section 8136) and corresponding final waivers from its lower tiers. - Within five (5) days after receipt of final payment, Subcontractor shall deliver an Unconditional Waiver and Release on Final Payment (Civil Code Section 8138).

ARTICLE 7 — WITHHOLDING, BACKCHARGES AND SETOFF

7.1 **Withholding for Defective Work.** Contractor may withhold from any payment an amount sufficient to cover the cost to correct Subcontract Work that is defective or does not conform to the Subcontract Documents. Contractor may continue to withhold that amount until the work has been corrected and accepted.

7.2 **Backcharges and Setoff.** Contractor may set off against any amount due to Subcontractor, under this Subcontract or any other agreement between the parties, the reasonable cost of the following, including a markup of ten percent (10%) for Contractor's supervision and administration: - backcharges for cleanup Subcontractor fails to perform; - damage Subcontractor causes to the work of others; - supplemental labor Contractor provides after notice under Article 12; and - other costs Contractor incurs because of Subcontractor's failure to perform.

7.3 **Notice of Withholding.** Before withholding or setting off any amount, Contractor shall give Subcontractor written notice stating the amount and the basis for it. Contractor shall pay any withheld amount promptly once the basis for withholding has been removed.

7.4 **Other Grounds.** Contractor may also withhold payment to the extent reasonably necessary to protect Contractor from loss on account of: - stop payment notices or mechanics liens arising from the Subcontract Work; - Subcontractor's failure to pay its lower tiers; or - liquidated damages assessed by Owner and attributable to Subcontractor's delay.

ARTICLE 8 — SCHEDULE AND PROSECUTION OF THE WORK

8.1 **Time of the Essence.** Time is of the essence in this Subcontract.

8.2 **Commencement and Prosecution.** Subcontractor shall begin the Subcontract Work upon written notice from Contractor. Subcontractor shall then perform the work diligently and in accordance with Contractor's project schedule, as updated from time to time.

8.3 **Key Dates.** Subcontractor shall meet the following key dates, subject to adjustment by Change Order:

Milestone	Date

| --- | --- |
Submission of shop drawings and hydraulic calculations	March 13, 2026
Completion of underground fire service and riser assembly	May 29, 2026
Completion of overhead ESFR piping	August 21, 2026
Final acceptance testing	**September 25, 2026**

8.4 **Delays.** If Subcontractor is delayed by causes beyond its control and without its fault, Subcontractor shall give Contractor written notice within five (5) days after the delay begins. Subcontractor shall be entitled to an extension of time only to the extent Contractor obtains a corresponding extension from Owner.

8.5 **Liquidated Damages.** If Owner assesses liquidated damages against Contractor, Subcontractor is liable for the portion attributable to Subcontractor's delay.

ARTICLE 9 — CHANGES IN THE WORK

9.1 **Change Orders.** Contractor may, without invalidating this Subcontract, order additions, deletions or other changes to the Subcontract Work. The Subcontract Sum and schedule will be adjusted only by written Change Order signed by both parties, or by written directive from Contractor.

9.2 **Change Proposals.** Subcontractor shall submit a detailed proposal for any change within seven (7) days after Contractor's request. The proposal shall include labor hours, material quantities, unit costs and any schedule impact. Markup on changed work is limited as follows: - fifteen percent (15%) on Subcontractor's own labor and materials; and - five percent (5%) on lower-tier work.

9.3 **No Payment Without Authorization.** Subcontractor shall not perform any changed work without a signed Change Order or written directive. Subcontractor waives any claim for unauthorized work.

9.4 **Claims Procedure.** Claims arising from Owner-directed changes are subject to the claims procedures of the Prime Contract. Subcontractor shall give notice of such claims in sufficient time for Contractor to comply with those procedures.

ARTICLE 10 — INSURANCE AND INDEMNITY

10.1 **Required Coverage.** Before beginning work, Subcontractor shall obtain and maintain the following insurance with carriers rated A- VII or better by A.M. Best:

Coverage	Minimum Limits
---	---
Commercial general liability (including products-completed operations, maintained for three (3) years after Final Completion)	$2,000,000 per occurrence / $4,000,000 aggregate
Business automobile liability	$1,000,000 combined single limit
Workers' compensation	Statutory limits
Employer's liability	$1,000,000
Umbrella liability	**$5,000,000**

10.2 **Additional Insureds.** Contractor and Owner shall be named as additional insureds under Subcontractor's general liability, automobile and umbrella policies. Coverage shall be primary and non-contributory and shall include a waiver of subrogation.

10.3 **Indemnity.** To the fullest extent permitted by law, and subject to California Civil Code Section 2782.05, Subcontractor shall defend, indemnify and hold harmless Contractor and Owner from claims, damages, losses and expenses, including reasonable attorneys' fees, arising out of the performance of the Subcontract Work. This obligation applies to the extent such claims are caused by the negligence, recklessness or willful misconduct of Subcontractor, its lower tiers or anyone for whom they are responsible. It does not apply to the extent a claim is caused by the active negligence or willful misconduct of an indemnified party.

ARTICLE 11 — WARRANTY, TESTING AND CLOSEOUT

11.1 **Warranty.** Subcontractor warrants that all materials and equipment will be new, listed and approved for their intended fire protection use, and that the Subcontract Work will be free from defects. This warranty runs for one (1) year after Owner's acceptance of the Project, or for any longer period required by the specifications. Subcontractor shall promptly correct any defect at its own cost.

11.2 **Testing.** Subcontractor shall perform all required tests in the presence of the authority having jurisdiction and Contractor's representative, including: - hydrostatic testing at 200 psi for two (2) hours; - underground flushing; - dry-pipe trip testing; and - fire pump acceptance testing.

Subcontractor shall provide Contractor with at least seventy-two (72) hours' notice before each test.

11.3 **Closeout Documents.** Before Final Completion, Subcontractor shall deliver: - record drawings; - final hydraulic calculations; - NFPA 25 inspection, testing and maintenance guidance; - executed Contractor's Material and Test Certificates; - equipment operation and maintenance manuals; - a spare sprinkler head cabinet stocked as required by NFPA 13; and - written warranties.

ARTICLE 12 — DEFAULT AND TERMINATION

12.1 **Notice to Cure.** If Subcontractor fails to perform any obligation under this Subcontract, Contractor may give written notice of the failure. If Subcontractor does not begin to cure within three (3) business days after receiving the notice and diligently complete the cure, Contractor may take either or both of the following actions: - supplement Subcontractor's forces; or - terminate this Subcontract for default.

In either case, Contractor may charge the resulting costs against amounts due to Subcontractor.

12.2 **Termination for Convenience.** If Owner terminates the Prime Contract for convenience, Contractor may terminate this Subcontract for convenience on written notice. Contractor may also do so for its own reasons. Upon termination for convenience, Subcontractor shall be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs. Subcontractor shall not be entitled to anticipated profit on unperformed work.

12.3 **Wrongful Termination for Default.** If a termination for default is later determined to have been improper, it shall be treated as a termination for convenience.

ARTICLE 13 — SAFETY AND COMPLIANCE WITH LAWS

13.1 **Safety Program.** Subcontractor shall comply with Contractor's site safety program and with Cal/OSHA regulations. Subcontractor's obligations include fall protection for overhead installation, aerial lift certification and hot work permits.

13.2 **Prevailing Wages.** Subcontractor shall pay prevailing wages if the Project becomes subject to them by reason of public funding or Port of Stockton requirements, as Contractor notifies Subcontractor in writing.

13.3 **Compliance with Laws.** Subcontractor shall comply with all applicable laws, codes and permit conditions.

13.4 **Hazardous Materials.** Subcontractor shall not bring hazardous materials onto the site except those necessary for the Subcontract Work. Subcontractor shall store and handle any such materials in accordance with law.

ARTICLE 14 — DISPUTES AND GOVERNING LAW

14.1 **Governing Law.** This Subcontract is governed by the laws of the State of California.

14.2 **Owner-Related Disputes.** Disputes involving Owner shall be resolved under the dispute resolution procedures of the Prime Contract. Subcontractor agrees to be bound by the outcome to the same extent Contractor is bound.

14.3 **Other Disputes.** All other disputes shall be resolved as follows: - The parties shall first attempt to resolve the dispute through good-faith negotiation between senior representatives. - If negotiation fails, the parties shall then attempt non-binding mediation in San Joaquin County. - If the dispute remains unresolved, either party may file suit in the Superior Court of California, County of San Joaquin.

14.4 **Continued Performance.** Pending resolution of any dispute, Subcontractor shall proceed diligently with the Subcontract Work.

ARTICLE 15 — GENERAL PROVISIONS

15.1 **Assignment.** Subcontractor shall not assign this Subcontract, or subcontract any portion of the Subcontract Work, without Contractor's prior written consent.

15.2 **Notices.** Notices shall be in writing and delivered to the addresses stated in the preamble. Delivery by hand, overnight courier or email with confirmation of receipt is effective.

15.3 **Waiver and Severability.** No waiver of any provision is effective unless it is in writing. If any provision is held unenforceable, the remainder of this Subcontract remains in effect.

15.4 **Amendment.** This Subcontract may be amended only by a writing signed by both parties.

15.5 **Counterparts and Signatures.** This Subcontract may be executed in counterparts. Electronic signatures are effective.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date.

NORTHGATE BUILDERS GROUP By: _____ Name: Daniel R. Okafor Title: Vice President, Operations Date: _____

ALLIED FIRE PROTECTION, INC. By: _____ Name: Teresa M. Villanueva Title: President Date: _____

RIDER A — SPECIAL CONDITIONS

A.1 **Precedence.** This Rider A forms part of the Subcontract. **In the event of any conflict between this Rider A and any other provision of the Subcontract Documents, this Rider A controls.**

A.2 **Retention.** **Retention under this Subcontract is five percent (5%).** This rate supersedes and replaces the ten percent (10%) retention rate stated in Paragraph 5.1 of the Subcontract. - Contractor shall withhold five

percent (5%) of each progress payment as retention, and no more. - All other provisions of Article 5, including the conditions and timing for release of retention, remain in effect.

A.3 **Effect on Other Terms.** Except as expressly modified by this Rider A, all terms of the Subcontract remain unchanged.

Acknowledged and agreed:

Contractor initials: _____ Subcontractor initials: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Value
---	---	---
1	Engineering, shop drawings, hydraulic calculations and permits	$26,500.00
2	Mobilization and general conditions	$14,000.00
3	Underground fire service, riser room and backflow assembly	$41,500.00
4	Fire pump, jockey pump, controller and pump room piping	$68,000.00
5	ESFR wet-pipe system — warehouse storage area	$189,000.00
6	Wet-pipe system — office and support areas	$27,500.00
7	Dry-pipe system — loading canopies and dock areas	$22,000.00
8	Standpipes, hose valves and fire department connections	$12,500.00
9	Seismic bracing and hangers	$11,000.00
10	Testing, flushing and acceptance	$8,500.00
11	Closeout, record drawings and spare parts	$7,500.00
	****Subcontract Sum****	****$428,000.00****